Vinod Kumar Saini vs Niharika Sharma on 6 February, 2024

THE COURT OF SHRI RUPINDER SINGH DHIMAN
METROPOLITAN MAGISTRATE, NI ACT-06, CENTRAL
TIS HAZARI COURT, DELHI

1. CC No.	6587/20, PS Kotwali
2.Unique Case no.	DLCT02-015918-2020
3.Title	Vinod Kumar Saini Vs. Niharika Sharma
3(A). Name of complainant	Vinod Kumar Saini S/o Sh. Kedarnath Saini R/o 2320/3, Choti Pahad Wali Gali, Dharampura, Delhi-06.
3(B). Name of accused	Niharika Sharma D/o Sh. Sanjay Sharma R/o 1944/1, Kinari Bazar, Chandni Chowk, Delhi-06
4.Date of institution of case	10.11.2020
5.Date of Reserving judgment	06.02.2024
6.Date of pronouncement	06.02.2024
7.Date of commission of offence	After 15th day of service of legal demand notice.
8.Offence complained of	U/s 138 NI Act
9.Offence charged with	U/s 138 NI Act
10.Plea of the accused	Pleaded not guilty
11.Final order	Acquitted under Section 138 of N. I. Act
12. Date of receiving of judicial file in this court	07.09.2021

Argued by: Ms. Seema Gupta, Counsel for complainant.
Sh. Neeraj Bhardwaj, Counsel for accused.

JUDGMENT

1. Briefly stated, the case of the complainant is that the mother of the accused and wife of the complainant were friends. Accused came to the house of the complainant with her mother in March 2019 and requested for a friendly loan of Rs. 3 lacs. Therefore, keeping in view the friendly relations between his wife and the mother of the accused, complainant advanced Rs. 3 lacs as friendly loan to the accused in cash in March 2019 itself. In discharge of the said liability, issued two postdated cheques of Rs. 1 lac and promised to repay the balance sum of Rs. 1 lac in cash. However, accused did not pay a single penny. Thereafter when the complainant presented cheque bearing no. 172183 dt. 30.06.2020 drawn on Oriental Bank of Commerce for a sum of Rs. 1 lac, the said cheque was dishonoured with the remarks 'payment stopped by drawer' vide return memo dated 07.09.2020 and despite issuance of legal notice dated 29.09.2020, accused did not pay the cheque amount. Hence the present complaint.

2. On the basis of pre-summoning evidence, accused was summoned for the offence u/s 138 Negotiable Instrument Act. Vide order dated 03.03.2022, a notice U/s 251 Cr.P.C. for the offence punishable under Section 138 N.I. Act was framed against the accused by my Ld. Predecessor with respect to which she pleaded not guilty and claimed trial. In her plea of defense, accused however, stated that her mother had applied for a chit fund with the wife of the complainant and the cheque in question was given as security. She further admitted the receipt of legal notice and stated that she

has already raised her plea of defense in the reply dt. 15.10.2020 to the legal notice whereby she has averred that two blank signed cheques bearing no. 172183 and 172184 were taken as security by wife of complainant qua two committees of Rs. 1 lac each of 20 members for 20 months which started from April 2019. However, as the complainant and his wife did not allow the mother of the accused to take the committee in the month of June 2019 and July 2019, accused asked for the return of the cheques as she did not wish to participate in the said committees. Further, she stated that her mother had paid Rs. 30,400/- qua both the committees and the said amount has not been returned till date. In view of raising of plausible defense, accused was given opportunity to cross-examine the complainant u/s 145(2) NI Act. Further, formal witnesses of the signature on the cheque, bank return memo and legal notice were dropped in view of the admission of the accused u/s 294 Cr. P.C.

3. The Complainant Vinod Kumar Saini in order to prove his case examined himself as CW1. He tendered in evidence his affidavit Ex. CW1/A and relied upon the following documents: -

> i. Ex. CW1/1 is the original dishonored cheque bearing no. 172183 dt.
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> 30.06.2020 for sum of Rs. 1 lac, drawn on Oriental Bank of Commerce, ii. Ex. CW1/2 is cheque returning memo dated 07.09.2020 with remarks "payment stopped by drawer".

iii. Ex. CW1/3 is the legal notice dated 29.09.2020 with postal receipt exhibited as Ex. CW1/4 and tracking report as Ex. CW1/5. iv. Reply dt. 15.10.2020 to legal notice is Ex. CW1/6.

4. In his cross examination, he stated that he was running a business of snacks in the name of Kedarnath Premchand Halwai. He stated that he is running the said business with his brother Premchand. He admitted that he does not have any GST number. With respect to payment of income tax for the period 2017 to 2020, he sought time to check with his brother but did not produce the same despite taking one date for the same. However he produced the photocopy of the second cheque along with its return memo which is Ex. CW1/D1. He stated he has one daughter and two sons. He further stated that his daughter Monika Saini is currently unemployed as she left the job in 2019. He further stated that his elder son is employed with him at the sweet shop and the younger son is running a business of mobile phone. He also admitted that his family income in the year 2018- 19 was Rs. 18,000/- to Rs. 20,000/-. Thereafter, he was confronted with summons in cases bearing CC no. 7066/2019 titled "Monika Saini Vs. Abhishek Kumar", CC no. 7067/19 titled "Ashwani Kumar Vs. Abhishek Kumar" and CC no. 7065/19 titled "Kiran Saini Vs. Abhishek Kumar. He admitted that his family members have filed the aforesaid cases against Sh. Abhishek Kumar and the said summons were taken on record as Ex. CW1/D2 (Colly in 3 pages). He denied the suggestion that his wife is in the business of chit fund and she misuses the blank security cheques given by the participants by presenting them in the name of his family members. He admitted that no transaction took place between him and the accused directly. He also admitted that this transaction had happened between his wife and the mother of the accused. He denied the suggestion that the accused is not liable towards him as no transaction took place with him. He, however, admitted that he had not mentioned the exact date of loan in para 2 of his complaint. He denied the suggestion that he did not have requisite financial capacity to advance the said loan. He however stated that he

had collected money for marriage of his daughter and he had given the loan to accused as he was compelled emotionally on account of the request of the mother of the accused. He further admitted that he had presented only one cheque though two cheques were given. He was thereafter, put a specific question qua his annual family income for financial year 2018-19 and 2019-20 to which he stated that it was Rs. 5-6 lacs per year. He conceded that the annual family income for the said period could not have been Rs. 15-18 lacs. He stated that he had given the amount after taking loan from some person while did not disclose the details of the said person. He denied the suggestion that he had misused the cheques handed over to his wife.

5. No other witness was examined by the complainant. Statement of accused was recorded on 22.08.2023 U/s 281 Cr.P.C. r/w section 313 Cr.P.C. wherein she stated that the cheque in question bears her signatures. She further stated that her mother and wife of the complainant were known to each other and she along with her mother were induced to invest in chit fund. She further stated that the cheque in question along with one other undated cheque was given as security which has been misused by the complainant after taking the same from his wife.

6. Thereafter matter was fixed for defense evidence (DE). Accused moved an application for summoning of files of cases bearing CC no. CC no. 7065/19 titled "Kiran Saini Vs. Abhishek Kumar, CC no.7066/2019 titled "Monika Saini Vs. Abhishek Kumar" and CC no. 7067/19 titled "Ashwani Kumar Vs. Abhishek Kumar". However, complainant stated that he had no objection to the exhibition of the photocopy of the paper book of the said cases. Therefore, in view of the statement of the complainant, the said paperbooks were taken on record as Ex. D1,D2 and D3 respectively.

7. Thereafter, accused examined her mother Deepika Sharma as DW-2 wherein she deposed that wife of the complainant Usha Saini operates Chit Fund. She further stated that the cheque in question along with another cheque was given by her to Usha Saini as she wanted to withdraw from Chit Fund but the same were kept as security. She further deposed that the said cheques were issued by her daughter as she does not have any bank account. She further stated both the cheques were blank signed cheques and only amount of Rs. 1 lac was written on both the cheques. She further deposed that chit fund was started in April 2019 and there were two chit funds of Rs. 1 lac each. She further stated that she has paid Rs. 30,000/- approximately qua both the funds. She also stated that wife of the complainant used to operate the chit fund and there were twenty other people who were members of the said chit fund. In her cross- examination, she stated that the chit fund run by wife of complainant, was not registered nor operated under any particular name. She stated that Ms. Shashi, Seema, Usha, Babli (Sunita) along with other persons were members of the said chit fund. She denied the suggestion that she is deposing falsely at the instance of her daughter or that no chit fund was operated by the wife of the complainant and therefore, there was no need of handling over of cheques of her daughter to the wife of the complainant. She further denied that her daughter was in need of Rs. 3 lacs in her matrimonial home or that she demanded Rs. 3 lacs from the complainant as friendly loan. She further denied receipt of friendly loan of Rs. 3 lacs. She denied that her daughter had issued two post dated cheques of Rs. 1 lac each in discharge of the said liability and had also promised to pay Rs. 1 lac in cash.

8. Thereafter, matter was fixed for final arguments. Sh. Seema Gupta advanced arguments on behalf of the complainant and Sh. Neeraj Bhardwaj advanced arguments on behalf of the accused. Before appreciating the facts of the case in detail for the purpose of decision, let relevant position of law be discussed first. Now, Section 138 Negotiable Instrument Act provides as under: -

> Section 138.- Dishonour of cheque for insufficiency, etc., of funds in the account.- Where any cheque drawn by a person on an account maintained by him with a banker for payment of any amount of money to another person from out of that account for the discharge, in whole or in part, of any debt or other liability, is returned by the bank unpaid, either because of the amount of money standing to the credit of that account is insufficient to honour the cheque or that it exceeds the amount arranged to be paid from that account by an agreement made with that bank, such person shall be deemed to have committed an offence and shall, without prejudice to any other provisions of this Act, be punished with imprisonment for a term which may be extended to two years, or with fine which may extend to twice the amount of the cheque, or with both:
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> Provided that nothing contained in this section shall apply unless the cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity, whichever is earlier;
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> the payee or the holder in due course of the cheque, as the case may be, makes a demand for the payment of the said amount of money by giving a notice in writing, to the drawer of the cheque, within thirty days of the receipt of information by him from the bank regarding the return of the cheque as unpaid; and the drawer of such cheque fails to make the payment of the said amount of money to the payee or, as the case may be, to the holder in due course of the cheque, within fifteen days of the receipt of the said notice.
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> Explanation -- for the purposes of this section, "debt or other liability" means a legally enforceable debt or other liability.

9. It is well settled position of law that to constitute an offence under section 138 N.I. Act, the following ingredients are required to be fulfilled: -

> i. drawing of the cheque by a person on an account maintained by him with a banker, for payment to another person from out of that account for discharge in whole/part any debt or liability;
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> ii. cheque has been presented to the bank within a period of six months from the date on which it is drawn or within the period of its validity whichever is earlier, iii. returning the cheque unpaid by the drawee bank for want of sufficient funds to the credit of the drawer or any arrangement with the banker to pay the sum covered by the cheque, iv. giving notice in writing to the drawer of the cheque within 30 days of

the receipt of information by the payee from the bank regarding the return of the cheque as unpaid demanding payment of the cheque amount, v. failure of the drawer to make payment to the payee or the holder in due course of the cheque, of the amount covered by the cheque within 15 days of the receipt of the notice.

10. Being cumulative, it is only when all the ingredients are satisfied that the person who had drawn the cheque can be deemed to have committed an offence under Section 138 of the N I Act.

11. Analyzing all the concerned provisions of law and various pronouncements in this regard, the Hon'ble Apex Court in Basalingappa v. Mudibasappa, AIR 2019 SC 1983, noted at para 23 as follows [Bharat Barrel and Drum Manufacturing Company v. Amin Chand Pyarelal, (1999) 3 SCC 35; M.S. Narayana Menon alias Mani v. State of Kerala and another, (2006) 6 SCC 39; Krishna Janardhan Bhat v. Dattatraya G. Hegde, (2008) 4 SCC 54; Kumar Exports v. Sharma Carpets, (2009) 2 SCC 513; Rangappa v. Sri Mohan, (2010) 11 SCC 441 referred] :

i. Once the execution of cheque is admitted, Section 139 of the Act mandates a presumption that the cheque was for the discharge of any debt or other liability.

ii. The presumption under Section 139 is a rebuttable presumption and the onus is on the accused to raise the probable defence. The standard of proof for rebutting the presumption is that of preponderance of probabilities.

iii. To rebut the presumption, it is open for the accused to rely on evidence led by him or accused can also rely on the materials submitted by the complainant in order to raise a probable defence. Inference of preponderance of probabilities can be drawn not only from the materials brought on record by the parties but also by reference to the circumstances upon which they rely. iv. That it is not necessary for the accused to come in the witness box in support of his defence, Section 139 imposed an evidentiary burden and not a persuasive burden.

12. To put in nutshell, the law regarding the presumption for the offence under Section 138 N.I. Act, the presumptions under Sections 118(a) and 139 have to be compulsorily raised as soon as execution of cheque by accused is admitted or proved by the complainant and thereafter burden is shifted upon the accused to prove otherwise. These presumptions shall end only when the contrary is proved by the accused, that is, the cheque was not issued for consideration and in discharge of any debt or liability etc. The onus to prove the issuance of the cheque lies upon the complainant, and the same has to be proved beyond reasonable doubt, unless the accused admits the same. Once the issuance of cheque is established, either by admission or by positive evidence, the presumption under Section 139 of the Negotiable Instruments Act, 1881 arises. We can summarize the general principles in the following way :-

Onus of proof: Section 139 of the Negotiable Instruments Act, 1881 states that it shall be presumed, unless the contrary is proved that the holder of a cheque received the cheque, of the nature referred to in Section 138, for the discharge, in whole or in part, of any debt or other liability. Therefore, here the onus shifts upon the accused to prove the nonexistence of debt or other liability. Section 139 of the Negotiable Instruments Act, 1881 uses the word "shall presume", which means that the presumption under Section 139 is rebuttable.

Standard of proof: The standard of proof required to rebut the presumption under Section 139 is that of "preponderance of probabilities". Therefore, if the accused is able to raise a probable defence which creates doubts about the existence of a legally enforceable debt or other liability, the onus shifts back to the complainant to prove by way of evidence, beyond reasonable doubt, that the cheque in question was issued by the accused in discharge, whole or in part, of any debt or other liability, and now the presumptions under Section 118 (a) and Section 139 will not come to the aid of the complainant.

Mode of Proof: The accused may adduce direct evidence to prove that the note/cheque in question was not supported by consideration, and that there was no debt or liability to be discharged by him. However, the Court need not insist in every case that the accused should prove the nonexistence of the consideration and debt by leading direct evidence because the existence of negative evidence is neither possible nor contemplated. At the same time, it is clear that a bare denial of passing of consideration and existence of debt, apparently would not serve the purpose of the accused. Something which is probable has to be brought on record for getting the burden of proof shifted to the complainant. To disprove the presumptions, the accused should bring on record such facts and circumstances upon the consideration of which, the Court may either believe that the consideration and debt did not exist, or their nonexistence was so probable that a prudent man would, under circumstances of the case, act upon the plea that they did not exist.

13. As discussed above, from the legal provisions and the law laid down in various judgments, it can be safely gathered that it is for the accused to rebut the presumptions. He can do so by cross examining the complainant, leading defence evidence, thereby demolishing the case of the complainant. It is amply clear that the accused does not need to discharge his or her liability beyond the shadow of reasonable doubt. He just needs to create holes in the case set out by the complainant. Accused can say that the version brought forth by the complainant is inherently unbelievable and therefore the prosecution cannot stand. In this situation the accused has nothing to do except to point inherent inconsistency in the version of the complainant or the accused can give his version of the story and say that based on his version the story of the complainant cannot be believed.

> 14. Coming to the facts of the present case, the accused in her plea of defense at the time of notice has admitted the execution of the cheque in question as well as filling the amount and the date on the cheque. Therefore, the Act raises two presumptions in favour of the holder of the cheque i.e., firstly, regarding the passing of consideration as contained in Section 118
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> (a) therein and, secondly, a presumption under Section 139, that the holder of cheque, received the same for discharge, in whole or in part, of any debt or other liability. Hence, onus was upon the accused to rebut the said presumptions. Accordingly, I proceed to consider the contentions raised by the accused to rebut the presumptions.
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> 15. First contention raised by accused is that she had not filled the name of the payee on the cheque. However, by virtue of section 20 NI Act, a right has been created in the holder of the cheque that when a blank cheque is signed and handed over, it means that the person signing it has given an implied authority to any subsequent holder to fill it up. Prima facie, holder thereof is authorized to complete the incomplete inchoate instrument. Thus, merely allegations of issuance of incomplete negotiable instrument does not make absolute defense in favor of the accused. There is no law that a person drawing the cheque has to necessarily fill it up in his own handwriting. Hence, once accused has admitted his signatures on cheque, he cannot escape his liability on the ground that the same is not filled in by him. A person issuing a blank cheque is supposed to understand the consequences of doing so.

Thus, this defense is of no assistance to the accused (Jaspal Singh Vs. State, crl. rev. 160/2016, by Hon'ble High Court of Delhi and Ravi Chopra Vs. State 2008 (102) DRJ 147, relied upon).

16. As regards the defense of the accused that the cheque in question was the security cheque, the said contention is without any merits. A security cheque falls within the purview of section 138 NI Act. In Credential Leasing and Credits Ltd Vs. Shruti Investments and Anr. 233 (2015) DLT 343, it has been held that the scope of section 138 NI Act would cover such cases where ascertained and crystallized debt or other liability exists on the day when the cheque is presented and not only to the cases where ascertained and crystallized debt or other liability exists on the day when it was delivered to the holder as and postdated cheque or as a current cheque with a credit period. Hence, it would have to be examined on a case-to-case basis, whether ascertained or crystallized debt of other liability exist, or not.

17. With respect to the denial of any existing liability qua the impugned cheques, accused has stated that the present cheque along with cheque bearing no. 172184 were given as security as blank signed cheques against the committees run by the wife of the complainant of which her mother was a member. Accused has denied taking of loan of Rs. 3 lacs from the complainant. However, Hon'ble Supreme Court in Kumar Exports Vs. Sharma Carpets (2009) 2 SCC 513, held that bare denial of passing of consideration and existence of debt, apparently would not serve the purpose of the accused. Something which is probable has to be brought on record for getting the burden shifted to

the Complainant. Counsel for accused has argued that the complainant did not have financial capacity to advance loan of Rs. 3 lacs. He has relied upon cross-examination of complainant and stated that complainant himself conceded that in the year 2018-19, his family income was only Rs. 18,000- Rs. 20,000/- per month. Therefore, he could not have advanced loan of Rs. 3 lacs to the complainant. Per contra, counsel for complainant has submitted that execution of cheque is admitted by the accused and therefore, onus was upon the accused to rebutt the presumptions. However, it is trite to state that accused can rebut the presumptions by pointing out inherent inconsistency in the case of complainant. Apex court in Rangappa v. Sri Mohan, (2010) 11 SCC 441 has held that:

> "............27. Section 139 of the Act is an example of a reverse onus clause that has been included in furtherance of the legislative objective of improving the credibility of negotiable instruments. While Section 138 of the Act specifies a strong criminal remedy in relation to the dishonour of cheques, the rebuttable presumption under Section 139 is a device to prevent undue delay in the course of litigation. However, it must be remembered that the offence made punishable by Section 138 can be better described as a regulatory offence since the bouncing of a cheque is largely in the nature of a civil wrong whose impact is usually confined to the private parties involved in commercial transactions. In such a scenario, the test of proportionality should guide the construction and interpretation of reverse onus clauses and the defendant-accused cannot be expected to discharge an unduly high standard of proof.
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> 28. In the absence of compelling justifications, reverse onus clauses usually impose an evidentiary burden and not a persuasive burden. Keeping this in view, it is a settled position that when an accused has to rebut the presumption under Section 139, the standard of proof for doing so is that of "preponderance of probabilities". Therefore, if the accused is able to raise a probable defence which creates doubts about the existence of a legally enforceable debt or liability, the prosecution can fail. As clarified in the citations, the accused can rely on the materials submitted by the complainant in order to raise such a defence and it is conceivable that in some cases the accused may not need to adduce evidence of his/her own......."

18. Complainant was put specific questions qua his financial capacity. Despite that, he did not produce any ITR or bank statement etc. to prove capacity for advancement of loan. As per Hon'ble Supreme Court in the case of K. Prakashan Vs. P. K Surenderan, VIII (2007) SLT 750, if a huge amount of money is advanced as a loan then the person who has purportedly advanced the loan must also show the solvency to the extent of the loan either through bank account or through other means. The complainant was also asked in his cross examination qua his financial capacity. He conceded that he himself did not have the loan amount but stated that he had borrowed the amount for advancing loan to the accused. However, he did not disclose the particulars of the person from he took the loan despite being put specific question in cross examination. Considering these circumstances and facts, an adverse inference is drawn against complainant on this account that no name was disclosed as no such money was borrowed for giving loan to the complainant. Hence, in the absence of any written agreement regarding advancement of loan, any receipt, any witness to

loan, and lack of explanation regarding source of funds, the version of complainant is very doubtful and cannot be relied upon.

19. As per Hon'ble Supreme Court in Rahul Builder Vs. Arihant Fertilizer (2008) 2 SCC 321, section 138 of Negotiable Instruments Act envisages application of the penal provisions which needs to be construed strictly. Therefore, even if two views in the matter are possible, the Court should lean in favour of the view which is beneficial to the accused. This is more so, when such a view will also advance the legislative intent, behind enactment of this criminal liability. Therefore, I find that the complainant has rebutted the presumptions on the basis of preponderance of probabilities and onus shifts to the complainant to prove the existence of debt or liability qua the impugned cheque.

20. Once the onus shifts to the complainant, there is no material on record in support of the case of the complainant. Complainant in his cross- examination has himself conceded that there was no direct transaction between him and the accused. Furthermore, he admitted that transaction took place between his wife and mother of accused. However, in paara 2 of his complaint, he has averred that loan was given to the accused. Thus the complainant has blown hot and cold and his version is inherently inconsistent. Further, his version that he had arranged funds for marriage of his daughter and had advanced loan to the accused from the said funds, seems implausible. This in conjunction with the fact that the complainant did not even disclose the name of person from whom he purportedly borrowed funds for giving loan to the complainant renders the version brought forth by the complainant as inherently unbelievable.

21. The concomitant of the aforesaid discussion is that the complainant has failed to prove existence of debt or liability qua the impugned cheque. Accused has successfully rebutted the presumptions through the cross examination of complainant. The case of the complainant cannot stand on its own legs and he cannot rely upon the weakness of the defense of accused. There are several missing link and inconsistencies in the case of prosecution. Benefit of doubt hence must be given to the accused. Presumption of innocence of accused can be dispelled by the prosecution only on establishing his guilt beyond reasonable doubt. Accordingly, accused stands acquitted for the offence punishable under section 138 of N. I. Act qua dishonour of cheque bearing no. 172183 dt. 30.06.2020 for sum of Rs. 1 lac, drawn on Oriental Bank of Commerce. Copy of judgment be provided free of cost to both the parties. File be consigned to the Record Room as per rules.

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       Announced in the               (RUPINDER SINGH DHIMAN)
   Open Court on 06.02.2024          Metropolitan Magistrate, NI Act-06,
                                        Central District/THC/ Delhi
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It is certified that this judgment contains fifteen (15) pages (RUPINDER SINGH DHIMAN) Metropolitan Magistrate, NI Act-06, Central District/THC/ Delhi